

# Bidding Metrics

2024-06-12

- Let  $n_i^{task}$  = Number of projects of the same task held by the contractor in the three quarters before starting project  $i$
- Let  $n_i$  = Number of projects held by the contractor in the three quarters before starting project  $i$
- Define:
  - Inexperienced contractor $_i$  = 1 if  $n_i^{task} = 0$
  - New entrant $_i$  = 1 if  $n_i = 0$
  - Level of inexperience $_i$  =  $1 - \frac{n_i^{task}}{n_i}$  if  $n_i > 0$
  - Level of inexperience $_i$  = 1 if  $n_{i,k,t} = 0$ .

## 1 Effect on Delays

### 1.1 Old vs New Entrant

|                                      | Percentage delay rate |                      |                      |                      |                      |                     |                     |                     |
|--------------------------------------|-----------------------|----------------------|----------------------|----------------------|----------------------|---------------------|---------------------|---------------------|
|                                      | Old entrants          |                      |                      |                      | New entrants         |                     |                     |                     |
|                                      | I                     | II                   | III                  | IV                   | V                    | VI                  | VII                 | VIII                |
| Constant                             | 12.730***<br>(0.151)  |                      |                      |                      | 12.201***<br>(0.324) |                     |                     |                     |
| Treat                                | -3.154***<br>(0.136)  | -3.151***<br>(0.136) | -1.548***<br>(0.134) | -1.548***<br>(0.133) | -0.324<br>(0.297)    | -0.385<br>(0.295)   | -0.625*<br>(0.325)  | -0.697**<br>(0.326) |
| SA $_i$                              | 1.046***<br>(0.170)   | 1.929***<br>(0.187)  | 2.241***<br>(0.186)  | 2.187***<br>(0.185)  | 3.253***<br>(0.549)  | 4.734***<br>(0.574) | 4.850***<br>(0.618) | 4.789***<br>(0.616) |
| Ln(Stage)                            | 3.762***<br>(0.040)   | 3.921***<br>(0.043)  | 3.647***<br>(0.041)  | 3.600***<br>(0.040)  | 4.359***<br>(0.099)  | 4.643***<br>(0.106) | 4.481***<br>(0.110) | 4.452***<br>(0.110) |
| Post                                 | -1.994***<br>(0.171)  |                      |                      |                      | -1.132***<br>(0.400) |                     |                     |                     |
| Treat $\times$ Post                  | 0.609***<br>(0.199)   | 0.615***<br>(0.200)  | 0.690***<br>(0.192)  | 0.697***<br>(0.191)  | -0.835*<br>(0.463)   | -0.763*<br>(0.463)  | -0.039<br>(0.473)   | -0.023<br>(0.472)   |
| Treat $\times$ SA $_i$ $\times$ Post | 1.031***<br>(0.202)   | 1.010***<br>(0.202)  | 0.723***<br>(0.199)  | 0.750***<br>(0.198)  | 0.270<br>(0.628)     | 0.196<br>(0.627)    | -0.285<br>(0.666)   | -0.293<br>(0.666)   |
| Time FE                              | No                    | Yes                  | Yes                  | Yes                  | No                   | Yes                 | Yes                 | Yes                 |
| Task FE                              | No                    | No                   | Yes                  | Yes                  | No                   | No                  | Yes                 | Yes                 |
| Industry FE                          | No                    | No                   | No                   | Yes                  | No                   | No                  | No                  | Yes                 |
| Observations                         | 183,119               | 183,119              | 183,119              | 183,119              | 31,029               | 31,029              | 31,029              | 31,029              |
| R <sup>2</sup>                       | 0.07                  | 0.07                 | 0.15                 | 0.15                 | 0.07                 | 0.07                | 0.14                | 0.14                |
| Within R <sup>2</sup>                |                       | 0.07                 | 0.06                 | 0.06                 |                      | 0.07                | 0.06                | 0.06                |

Clustered (Project ID) standard-errors in parentheses

Signif. Codes: \*\*\*, 0.01, \*\*, 0.05, \*, 0.1

## 2 Experienced vs Inexperienced

|                                | Percentage delay rate   |                      |                      |                      |                          |                      |                      |                      |
|--------------------------------|-------------------------|----------------------|----------------------|----------------------|--------------------------|----------------------|----------------------|----------------------|
|                                | Experienced contractors |                      |                      |                      | Inxperienced contractors |                      |                      |                      |
|                                | I                       | II                   | III                  | IV                   | V                        | VI                   | VII                  | VIII                 |
| Constant                       | 12.668***<br>(0.181)    |                      |                      |                      | 12.727***<br>(0.211)     |                      |                      |                      |
| Treat                          | -3.484***<br>(0.166)    | -3.463***<br>(0.166) | -1.431***<br>(0.160) | -1.444***<br>(0.159) | -1.706***<br>(0.184)     | -1.750***<br>(0.183) | -1.267***<br>(0.191) | -1.274***<br>(0.192) |
| SA <sub>i</sub>                | 0.653***<br>(0.188)     | 1.436***<br>(0.212)  | 1.471***<br>(0.206)  | 1.430***<br>(0.205)  | 3.162***<br>(0.336)      | 4.577***<br>(0.352)  | 4.338***<br>(0.363)  | 4.254***<br>(0.364)  |
| Ln(Stage)                      | 3.625***<br>(0.046)     | 3.769***<br>(0.050)  | 3.360***<br>(0.046)  | 3.313***<br>(0.046)  | 4.247***<br>(0.063)      | 4.508***<br>(0.068)  | 4.485***<br>(0.069)  | 4.457***<br>(0.068)  |
| Post                           | -1.964***<br>(0.202)    |                      |                      |                      | -1.850***<br>(0.252)     |                      |                      |                      |
| Treat × Post                   | 0.586**<br>(0.236)      | 0.561**<br>(0.237)   | 0.644***<br>(0.225)  | 0.664***<br>(0.223)  | 0.325<br>(0.291)         | 0.394<br>(0.291)     | 0.628**<br>(0.294)   | 0.672**<br>(0.294)   |
| Treat × SA <sub>i</sub> × Post | 1.368***<br>(0.225)     | 1.371***<br>(0.225)  | 0.831***<br>(0.219)  | 0.880***<br>(0.218)  | 0.135<br>(0.391)         | 0.011<br>(0.391)     | 0.021<br>(0.402)     | 0.064<br>(0.403)     |
| Time FE                        | No                      | Yes                  | Yes                  | Yes                  | No                       | Yes                  | Yes                  | Yes                  |
| Task FE                        | No                      | No                   | Yes                  | Yes                  | No                       | No                   | Yes                  | Yes                  |
| Industry FE                    | No                      | No                   | No                   | Yes                  | No                       | No                   | No                   | Yes                  |
| Observations                   | 136,736                 | 136,736              | 136,736              | 136,736              | 77,412                   | 77,412               | 77,412               | 77,412               |
| R <sup>2</sup>                 | 0.07                    | 0.07                 | 0.16                 | 0.17                 | 0.07                     | 0.08                 | 0.13                 | 0.14                 |
| Within R <sup>2</sup>          |                         | 0.07                 | 0.05                 | 0.05                 |                          | 0.07                 | 0.07                 | 0.07                 |

Clustered (Project ID) standard-errors in parentheses

Signif. Codes: \*\*\*: 0.01, \*\*: 0.05, \*: 0.1